

Fiscal Policy, Deficit

Definition

→ Fiscal Policy is the govt policy of controlling the economy through taxes, expenditure and borrowing.

→ In India, it is formulated by the ministry of finance

→ It is implemented annually by budget.

Objectives

- Enhance Economic growth, Development
- Control Inflation.
- Reduce unemployment
- Reduce income inequality
- maintain economic stability

Income Received by Govt.

Revenue Receipts

→ This is the income which does not increase any liability on the govt.

Ex:

- Direct, indirect Tax
- Income Tax
- corporate Tax
- custom duty
- Excise duty

Non Tax Revenue

- Interest Receipts
- Fees
- Fine
- Spectrum Auction.
- Dividends from govt. companies

Capital Receipts

→ This increases the govt. liabilities or decreases its assets.

Ex:

- Borrowing
- debt recovery
- Disinvestment
- Small savings scheme

Total Expenditure

Govt. Expenditure also splits into two parts:

Revenue Expenditure

Expenditure that do not create assets

Ex.

Salaries and pensions
Subsidies
Interest payments
Administrative expense

Capital Expenditure

Expenditure that create assets.

Ex.

Building road, Railways
and ports
Defence equipments
machinery purchase

Disinvestment

When govt. sells its stake in a public sector undertaking (PSU) partially or fully, it is called disinvestment.

Types

i) partial disinvestment.
sells small percentage

ii) complete disinvestment
sells 100%

Funds of govt of India.

The Funds of the government of India are described in Article 266 and 267 of the constitution.

Three main types of funds.

- Consolidation fund of India.
- Contingency fund of India.
- Public Account of India.

• Consolidation fund of India

It is the most important and main fund of the govt. of India.

All the revenue of the govt is deposited

In this

These include:—

- Income Tax, GST, customs duty.
- Non-tax revenue
- Loans taken by govt
- Recovery of loans
- ~~Other~~

No expenditure can be made from this fund without permission of the Parliament.

Ex- Defence spending

Salaries and pensions

govt. schemes.

Subsidies

Contingency fund of India

Article 267.

This is an emergency fund

Purpose To meet sudden and unexpected expenses.
(such as natural disasters, war etc.)

- 1) This fund is under the control of the President
- 2) It can be spent without prior approval of Parliament
- 3) This fund is later refunded from the consolidated fund with Parliament's approval.

Public Account of India

Article 266 (2)

This is an account in which the govt holds funds that it does not own, but is merely the custodian of.

• Provident funds.

Small savings schemes

Postal savings.

Court Deposits.

Other trust funds

Note Parliamentary approval is not required for the expenditure

Types of Financial Deficit / ETCT

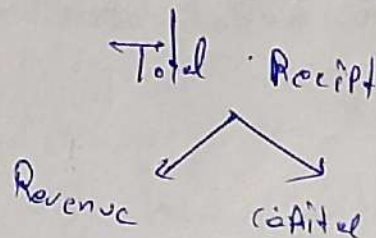
(i) Budget Deficit

Total income < Total expenditure

(ii) Revenue Deficit

Revenue Receipt < Revenue expenditure

(iii) Fiscal Deficit



Total expenditure

↳ Revenue expenditure
capital

(iv) Primary Deficit

Fiscal Deficit - Interest Payment